(18) #1 PARABOLIC SAR Trading Strategy: FOR PROS - YouTube
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Transcript:
(00:00) Hey, what's up guys? It's Ezekiel Chu here. So, let me hit you with this. Most traders, they don't blow their accounts because they lack setups. They blow them because they put like blind faith in indicators that lie. So, take the parabolic S. It looks clean. The dogs flip. You flip your trade until the market goes sideways and suddenly you're trapped in what? Fake signals, backto back losses, and of course, like frustration. Here's the truth.
(00:28) The SAR isn't broken. The way that most traders use it is use wrong is a trap. Use it right. This becomes one of the sharpest trend tools you're going to ever have. So today I'm breaking down the three-step framework that I use to make the SR bulletproof. How to filter out the traps, how to align with the rail trend, and how to lock in exits like a pro so that your wins actually stick.
(00:55) So stick with me because once you see how to use the S, this way you never trade it blind again. [music] First thing first, the parabolic S, right? So traders call it what? The stop and reverse indicator. It's for good reason, right? Because why? You're going to see a trail of dots climbing. It climbs under the candles until when the market pushes up higher and higher and higher and then after which dropping above the candles when price starts to fall. I mean, it's simple enough.
(01:39) A quick glance, you're going to know if the market wants to keep driving, say, upwards or if the momentum is slipping away and starts to go down. But here's the thing. What looks simple on the surface is actually carrying more weight than most people actually realize. Right? So now, have you ever noticed how the parabolics are? It kind of feels perfect until the market goes [music] sway.
(02:06) And that's where step one of our three-step framework begins. Exposing the truth about the SA. [music] Here's what pulls traders in the dots. Like I said, it makes everything look so simple. So when they line up below the bars, it feels like the market is whispering to you, "Hey, relax. The momentum is with you. Stay long." And then when it flips above it, it's the opposite. Okay, time to switch.
(02:36) Now the run is over. It almost feels like cheating because the entry points becomes like crystal clear. One flip, one signal, one trade. And in the beginning, it actually does a pretty decent job of keeping you on the right side of the moves. And like, hey, the genius doesn't just like stop there. You know why? The dots are not just trend markers.
(03:00) They can double as your what? As your builtin stop-loss guide. So the very first dot after the switch can sit at where you park your stop loss itself. So that means what you're risking very little and the the room has plenty of room to stretch, right? So you're kind of like trailing trailing trailing trailing trailing until you switch and it comes down and hits a dot.
(03:20) That's where you get stop out and and yay you get a big win as long as the market keeps moving. So when the market starts to trend the parabolic s it feels really magical because the dots it keeps trailing it pushing you deeper and deeper and deeper into the move. We are not rushing to close the trades because we hope that it's going to run forever and we are not shaken out by all the tiny pullbacks because we our stop loss is where is below or above all those dot we are locked in trade after trade.
(03:46) We write the flow as if the market is letting you on a secret just keep going keep going. These dots are like the cheat code. So this is every beginner dream, an

indicator that is so like so simple that all we got to do is just to follow the dots and collect the returns. But this is where the reality hits because the S doesn't stop printing signals.
(04:09) Even when the trend runs out of gas, the dots is going to keep flipping. First they are below and then suddenly they're above and then after that they're back below again. So what felt like clarity earlier now feels like noise. buy, sell, buy, sell, buy, sell with each flip. So, and before you even realize it, the SAR has now transformed like from our best friend into now like this massive false signal machine, right? So, here's the truth that nobody tells you up front.
(04:35) The market, it only trends 20% of the time and that's it. Which means that the SAR by itself is only operating in its sweet spot during that small 20% window. The other 80% of the time the market is what is kind of chopping sideways. Right? So the SAR is not guiding you. It's going to betray you during that period in time.
(04:54) Right? This is why the traders they go through this kind of like a lovehate cycle. At first they love the S, right? Because it's so clean, right? All these trending wins. But later they hate it because it stopped. Not only it stopped working, but because they never understood the limitations of this.
(05:10) So now if you ever wonder why your SAR the flips keeps failing even when they look perfect right that's where step two of the framework comes in this is where we are going to use [music] the EMA as your guide and the SAR as [music] your execution tool [music] execute you here. So, let me be real with you for a moment. I mean, I've seen this over and over again, right? People struggling to keep up as prices climb.
(05:46) So, here's what most of them they get wrong. They think that savings is enough while everything like around us gets more expensive. I mean, the groceries, bills, and even like the basics, they aren't so basic anymore. And with your bank interest kind of like barely keeping up with inflation, your money is losing value by the day.
(06:06) So now I teach people how to grow their money in the markets, but I'm also a big believer in being smart about where and how you start. So with that, I've known XM for a long time. I mean, it's one of the more established platforms out there. And over the years, I've seen how they continue to make trading more accessible, helping new traders get started with the right foundation.
(06:28) And in fact, they are offering a $50 bonus for firsttime users with no deposit needed. So you can learn, test, and trade without even touching your own capital. Even better, they run demo competitions. So you can trade with virtual funds. Go head-to-head with real traders from around the world. Rank well and you'll win real prizes.
(06:55) The links below. [music] >> [music] >> Take a look at this example. So the SA it flips above the candle. It flashes a short signal. We jump in confident. But then when we zoom out the bigger picture, what it shows that the market is in a strong uptrend. So that shot earlier, it's like what? It's like stepping in front of like a moving train.
(07:23) So this is like you're going against the trend. This is the hidden trap of using the SA alone. It doesn't see the whole forest. It only shows you the tree. [laughter] So, how do we fix it? We bring in a guy to hike through a forest. And the guy is our EMA, right? More specifically, the 200 period exponential moving average. So, now this acts like a what? Like a compass.
(07:50) It shows you the market long-term direction. Here's the rule, right? If price is above the 200 EMA, generally speaking, the trend is up. When that happens, we

look for long entries. So now, if price is below the 200 EMA, the trend is down. So we only look for short entries to sell. Instead of blindly following every dot flip, we wait for the parabolic S to agree with the EMA.
(08:18) For example, let's say price is below the 200 EMA. We wait patiently until the S flips to be above the candle. This confirms the bearish momentum for potential downwards movement. So this is our short entry that is in line with the overall trend direction. So now on the other hand, if price is above the 200 EMA which suggests that it's in a bullish uptrend, we wait for price to move below the candle.
(08:44) So this is our like our green light for us to go long, for us to buy for the upwards movement. this simple pairing the parabolic star pairing with the 200 EMA is going to filter away a lot of false for signals right so now instead of like uh chopping around in a sideways market we are now aligning our trades with the dominant trend with the main trend so this give our setup a way higher probability the beauty of this is that we we didn't abandon the parabolic s we we simply we just make it smarter with the EMA now as the MAC and then the
(09:15) parabolic s as the trigger alone the pair bricks is like a reactive friend right it's like it's very reactive right it's going to keep moving a little bit but with the trend filter right you are now making it a whole lot more discipline you will now filter away 50% of the wrong trades because in an uptrend when the market tells you to sell we don't sell we only wait for positions to buy that itself will filter away say 50% of the wrong trades itself so now if you ever had a trade that went perfectly until you exited too This is
(09:48) where step three tells it turning the parabolic s leg signals into a rulebased system [music] [music] boss. If you found this video helpful so far, here's something that always surprises me. 73% of you who watches this video regularly haven't subscribed yet. I mean, if you're getting value and want to support what we are doing, the best way is just to hit that subscribe button.
(10:24) It's free and really helps us to continue creating better content for you every single week. It truly means a whole lot to us. Okay, now so now let's get back to it. [music] with parabolic s it gets the reputation of like >> hey it's it looks so easy right the dot flips we flip the trade >> so like what we said that ease is not consistent to make the parabolic s more than just a lucky streak what we need we need timing we need testing we need risk control this is where we shift it from just a normal indicator to made it part of our system itself like what we say
(11:02) right most traders they wait to exit the trade by trailing it below and then waiting for the dots to flip it works generally speaking It works but then it's often too late. By the time the SA it signals an exit, you know what happens? You have already given back right a pretty decent or a good chunk of your profits.
(11:25) A smarter approach is to go back to the trade and use the dots as your stops directly. So what do I mean by that? So we enter long, we place our stop loss at a dot below. We enter short, we place our stop loss at a dot above. Then we set a clear profit target. Usually when at the next say support or resistance level and as per always we always want to aim for trades with at least say 1 is to 1.
(11:49) 5 risk-to-reward ratio. So now this way we are not waiting for any lagging signals. For example, when price hits our support or resistance level, the level that we have set, even though it may switch later, we have now locked in the profits because it has reached our intended target.
(12:11) So this is comes with what? With discipline. So now after setting those levels, we let price decide which gets hit first. Here's the catch. Sometimes the dots, they sit too far from the price. So if you set your stop loss at there, our risk is actually pretty

in a way big, it can explode. So this is where the professional discipline becomes in.
(12:37) We kept [music] our stock size. So what you can do is to here's a pro tip is to limit your risk to about 0.7%. So this way even if the SA the dot is like way off our loss is never going to be like big big or like a full loss. Yes it trims some upside but it protects the one thing that matters the most which is our account itself.
(13:01) Here's the real takeaway. The parabra star is reactive. It can be even reckless with all the flips, right? But when we refine our exit using either always placing our target at a support or resistance level, for example, always aiming for at least a risk to go ratio of 1 is to 1.5 and then we can also add the dots below.
(13:21) But then we see whichever hits first. But if it if it doesn't hit that yet, we would limit our stop loss to 0.7%. So this way it becomes structured. We are always constantly managing our risk while making sure that we have a maximum [music] takeprofit target. Good. [music] So now let's tie it all together. Our three-step framework.
(13:51) We talk about what the parabolic star market drifts sideways. The same dots is going to keep tripping you. So this is where the first lesson comes in. It works beautifully in motion and struggles in the chop itself. So if you have used parabolic star before and you stop, it's time to get back. It's really a good indicator.
(14:05) If you haven't used parabolic star, take note of this because you're going to struggle when the market goes into a choppy market. Which is why the EMA comes in, the 200 EMA comes in. So now instead of treating every flip, oh, I'm going to enter, I'm going to exit, I'm going to enter, and I'm going to exit. No, no, no, no.
(14:21) We use it as a filter with the S. If the market is going in an uptrend, we wait for the position to buy. If it's in a downtrend, we wait for the position to sell and that's it. This one adjustment is going to give you the clarity to trade in the correct direction of the market because we only trade when it trends. Now then we tighten things further instead of waiting once we get in the trade, right? Instead of waiting like a laggy exit, right? Just typically we just follow the the dots below. No, no, no.
(14:48) Sometimes is you're going to have a like going to give a big chunk of profits back to the market. So this is where we went. We kept our risk. We set it. We set a target. And then we combine with the 0.7% risk limitation. Okay. Okay. So, here's what to do next. I want to give you something that's going to change the way that you trade forever.
(15:07) So, I've put together a free training that walks you through the exact three-step system that I use to find high probability trades with sniper level entries, real risk control, and zero guess work. So, this is the same system that I use myself and the same one that has helped thousands of traders go from frustration to consistent wins.
(15:32) And I'm giving it to you for free. Right? There's no fluff, no fueler, just pure strategy. So, if you ever wanted to trade with clarity and real conviction, this is the place to start. So, click on the link in the description below and I'll see you inside the training. [music] >> [music]